

Croman Next Generation Bets on Rent-Stabilized: Contrarian Capital or Family Legacy?

Jake and Adam Croman are buying the assets others shunned, testing whether stabilized cash flow can replace value-add upside.

The most interesting number in Jake and Adam Croman's latest acquisition is not the purchase price. It is the asset type. A five-story walkup at 118 Mulberry Street in Chinatown, roughly half rent-stabilized, is exactly the kind of property most institutional and private capital has been avoiding since the 2019 Housing Stability and Tenant Protection Act rewrote the underwriting rules for New York multifamily.

The Croman brothers are buying into a market that most investors have decided is structurally impaired. That alone makes the trade worth examining. This is not a distressed bargain hunt. It is a deliberate bet that the market has overcorrected, that stabilized cash flow from regulated units, when paired with commercial storefront income and a low enough basis, can produce returns that justify the regulatory risk. The thesis is contrarian.

It is also capital-efficient, if the numbers work. The portfolio they have assembled quietly across Manhattan, including 303 West 116th Street, 323 East 108th Street, and several East Harlem and Alphabet City buildings, shares a common profile: small walkups, mixed-use income, and a heavy rent-stabilized component. These are not the trophy assets that trade at sub-4 cap rates.

They are the kind of buildings that require hands-on management, tolerance for regulatory complexity, and a long hold period. That profile matters for capital markets. Since 2019, the bid for rent-stabilized multifamily has narrowed dramatically. Lenders grew cautious. Equity investors demanded higher return thresholds. Transaction volume in the segment dropped. The conventional wisdom became that value-add strategies in regulated housing were dead, because the upside from deregulation had been legislated away.

The Croman brothers are testing whether that consensus is wrong. Their strategy appears to rely on three things: a low enough acquisition basis to generate cash flow from stabilized rents alone, commercial income to supplement residential revenue, and the operational discipline to manage within the regulatory framework rather than fight it.

That is a fundamentally different model from the one their father built, which depended on vacancy deregulation and tenant turnover to drive rent growth. The capital question is whether this model can scale. Small walkups trade in a different liquidity pool than large institutional assets. Debt for rent-stabilized buildings is available but priced for risk. Agency lenders like Fannie Mae and Freddie Mac have limited appetite for heavy rent regulation.

Private debt providers will lend, but at lower leverage and higher spreads. The equity required to close these deals is likely coming from high-net-worth individuals and family offices who can underwrite a longer hold and a lower current return. That is exactly the capital base the Croman brothers appear to be tapping.

Their partnership with fashion heir Jeremy Tahari and, in one case, NBA player Mo Bamba, suggests a network of private investors who are not constrained by institutional return hurdles or LP redemption pressure. That gives them patience. In a market where most capital demands liquidity, patience is a structural advantage. The branding question is unavoidable.

Jake Croman has emphasized that he and his brother operate independently from their father, Steve Croman, whose legal history includes a prison sentence for mortgage and tax fraud and an \$8 million settlement over tenant harassment allegations. The separation is more than a corporate formality. It is a prerequisite for doing business with lenders, tenants, and co-investors who may be wary of the family name. Yet the overlap has not disappeared entirely.

The latest acquisition listed Harriet Croman as signatory and correspondence was directed through Centennial Properties, the firm long associated with Steve Croman. Jake described the mailing address as an administrative convenience. Whether the market accepts that distinction will depend on how the brothers conduct themselves operationally. In New York real estate, reputation is a form of capital. It can be spent down or built up.

For the broader market, the Croman brothers' activity is a signal worth watching. If their portfolio performs, it could encourage other capital to reexamine rent-stabilized assets at the right basis. If it struggles, it will reinforce the view that the 2019 law permanently compressed the return profile of regulated housing. The next phase of the multifamily cycle in New York will not be defined by who owns the most deregulated units.

It will be defined by who can generate consistent cash flow from the assets everyone else ignored. The Croman brothers are making that bet with their own capital and their family's name. That is the kind of conviction that either produces a new playbook or becomes a cautionary tale.

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